

Notes: Cook, Marx & Yimfor (JF, 2026)

Funding Black High-Growth Startups

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1 Big picture

- **Question.** How large is the venture-capital funding gap for Black high-growth entrepreneurs, and what mechanisms explain when Black-founded startups do or do not raise VC funding?
- **Core setting.** The paper studies U.S. high-growth startups founded between 2000 and 2020, using PitchBook as the primary startup and financing database.
- **Data innovation.** The authors classify the perceived race of more than 160,000 founders and investors by combining online profile photos, name-based algorithms, and manual validation.
- **Main fact.** Only 3.1% of VC-relevant high-growth startups are Black-owned, and only 2.5% of VC-funded founders are Black, far below the Black share of the working-age population.
- **Funding gap.** Black-owned startups raise much less venture capital. Conditional on raising funding, they raise roughly half as much VC funding as comparable non-Black-owned startups.
- **Funding pipeline result.** The gap is concentrated around the transition from seed or angel financing to early-stage VC financing, especially Series A.
- **Success-marker mechanism.** Much of the gap is explained by observable markers traditionally valued by VCs: patents, founder teams, top-school background, serial founding experience, VC-backed experience, senior roles, and network proximity.
- **Investor race result.** Black VC partners are more likely to invest in Black-owned startups, even within the same VC firm.
- **Outcome result.** Black-owned startups funded by Black VC partners have higher successful exit rates than Black-owned startups funded by non-Black partners.
- **Interpretation.** The paper attributes this outperformance to lower information asymmetries and screening discrimination: Black VC partners may better distinguish high-quality Black founders from lower-quality Black founders because of network overlap and cultural proximity.
- **Takeaway.** The Black VC funding gap reflects both unequal distribution of traditional success markers and unequal access to informed evaluators who can interpret signals from Black founders.

2 Incremental contribution of the paper

2.1 Contribution relative to entrepreneurship finance

- Prior work studies VC funding gaps by gender and studies racial gaps in small-business lending, crowd-funding, and entrepreneurship broadly.
- This paper shifts the focus to **high-growth startups**, the subset of firms most likely to generate venture-scale innovation, employment, and wealth creation.
- It provides the first comprehensive estimate of the Black-owned startup representation and funding gap in VC-style high-growth entrepreneurship.

Interpretation: The key incremental contribution is population-level measurement. The authors show that racial disparities are present not only in small business credit markets, but also in the high-growth startup ecosystem that produces outsized innovation and wealth.

2.2 Contribution relative to data construction and race measurement

- Standard venture databases usually do not report founder race, and self-reported race fields are incomplete and potentially selected.

- The paper builds a new race-classification pipeline using images, names, online employment profiles, firm websites, social-media profiles, and manual review.
- The resulting data set covers over 100,000 startups and more than 160,000 founders and investors.
- The classification targets *perceived* race, which is relevant for investor decision-making because investors respond to how founders are perceived in fundraising interactions.

Interpretation: The paper’s measurement strategy is itself an empirical contribution: it creates a scalable way to study racial gaps in venture capital where administrative race data are absent.

2.3 Contribution relative to discrimination and information-asymmetry theories

- The paper does not claim to fully distinguish taste-based discrimination from statistical discrimination.
- Instead, it shows that Black-owned startups have fewer observable success markers and weaker networks, which can generate funding gaps even when investors rely on signals that appear race-neutral.
- It also shows that Black VC partners both invest more in Black founders and achieve stronger exit outcomes in those investments.
- This pattern supports screening-discrimination logic: evaluators with greater in-group information may better separate high-quality from low-quality founders.

Interpretation: The paper contributes a mechanism beyond simple bias: unequal signal availability and unequal evaluator information can create funding gaps, and within-group evaluator expertise can mitigate them.

2.4 Contribution relative to VC matching and networks

- The paper constructs a network score based on shared education and employment ties between founders and contemporaneous lead VC partners in the same state and industry.
- It shows that network proximity matters for fundraising and that Black founders have lower network proximity to non-Black VC partners.
- It also shows that Black partners and Black founders are more likely to share pre-startup school or work connections.

Interpretation: The paper integrates racial gaps with network-based venture investing. It shows that VC funding is not only about startup quality; it also depends on referral and information networks that are unevenly distributed by race.

3 Data and measurement

3.1 Startup sample

- The main sample consists of U.S.-based high-growth startups formed from 2000 to 2020 that appear in PitchBook and have at least one founder identified.
- A startup is classified as Black-owned if a majority of its founders are Black or if the founder-CEO is Black.
- The authors group venture capital and angel investment together because angel funding is small relative to VC dollars and exhibits similar patterns regarding Black founders.
- The analysis often controls for state, year, and industry fixed effects, where industry is one of seven PitchBook sectors.

Interpretation: The sample is not all entrepreneurship. It is the set of startups visible to a venture-capital database and therefore plausibly relevant to the VC funding market.

3.2 Race classification

- The authors collect founder and investor images from online employment profiles, company pages, and social-media sources.
- Image-based algorithms and name-based predictions are combined with manual review.
- The method is validated out of sample and correlates more strongly with perceived race than with self-reported race.
- Figure 1 compares perceived-race classification from images with the NamePrism name algorithm.

Interpretation: The goal is not to adjudicate personal identity. The relevant economic object is how investors perceive founders during fundraising.

3.3 Funding outcomes

The main funding outcomes include:

- an indicator for raising any external funding;
- an indicator for raising VC funding;
- log non-VC funding conditional on funding;
- log VC funding conditional on funding;
- number of funding rounds by round type;
- time to each round;
- amount per round.

Interpretation: The paper studies both the extensive margin of getting funded and the intensive margin of how much funding is raised.

3.4 Success markers and founder characteristics

The paper measures many founder and startup covariates:

- founder gender;
- network score;
- serial founder indicator;
- founder-inventor status;
- senior-role experience;
- PhD status;
- VC-backed startup experience;
- big-tech experience;
- computer-science or engineering background;

- count of previous jobs;
- top-school attendance;
- startup experience;
- patents;
- number of founders.

Interpretation: These variables proxy for signals investors may use when deciding whether to evaluate and fund a startup.

3.5 Investor and deal data

- The authors classify the race of VC partners and lead partners on deals using similar image/name/manual methods.
- The paper identifies whether a VC is large or successful based on past funding deployed and past successful exits.
- Deal-level data identify lead partners, founder race, startup characteristics, and subsequent startup outcomes.
- Successful exits include IPOs and acquisitions observed by the end of the sample window.

Interpretation: Linking founders to lead partners lets the paper test whether Black VC partners invest more in Black founders and whether those deals perform differently.

4 Empirical specifications

4.1 Baseline funding gap regression

The baseline startup-level OLS specification is:

$$FundraisingOutcome_i = \beta_1 P(Black)_i + \gamma' X_i + \varepsilon_i. \quad (1)$$

- $P(Black)_i$ is the proportion of founders who are Black, or the Black-owned indicator depending on the specification.
- X_i includes founder, startup, state, year, and industry controls.
- Outcomes include indicators for raising funding and log funding amounts.

Interpretation: The coefficient β_1 measures the conditional Black funding gap after adjusting for observed startup and founder characteristics.

4.2 Gelbach decomposition

The paper uses Gelbach’s omitted-variable-bias decomposition to decompose the funding gap:

$$\hat{\beta}^{Base} - \hat{\beta}^{Full} = \sum_k Contribution_k. \quad (2)$$

- $\hat{\beta}^{Base}$ is the Black-founder coefficient before adding success markers.
- $\hat{\beta}^{Full}$ is the coefficient after adding founder and startup characteristics.
- Contributions are grouped into gender, founding-team characteristics, startup characteristics, state, industry, and year dummies.

Interpretation: This decomposition quantifies how much of the funding gap is associated with observable differences in success markers.

4.3 Round transition and pipeline specifications

The paper estimates funding regressions separately by deal type:

$$I(RoundType_i) = \alpha + \beta P(Black)_i + \gamma' X_i + \varepsilon_i. \quad (3)$$

The paper also estimates conditional transition probabilities:

$$I(EarlyStage_i) = \alpha + \beta P(Black)_i + \delta_1 I(Seed_i) + \delta_2 I(Angel_i) + \delta_3 I(Accelerator_i) + \gamma' X_i + \varepsilon_i. \quad (4)$$

Interpretation: These tests identify where in the funding pipeline the gap is largest. The main bottleneck is the early-stage VC transition.

4.4 Investor race and founder race matching

Investor-deal regressions relate lead partner race to founder race:

$$I(InvestedInBlackFounder)_{jdi} = \alpha + \beta I(BlackPartner)_{jd} + \gamma' X_i + FE + \varepsilon_{jdi}. \quad (5)$$

Exit regressions interact founder and partner race:

$$I(Success)_{jdi} = \alpha + \beta_1 I(BlackPartner)_{jd} \times I(BlackFounder)_i + \beta_2 I(BlackPartner)_{jd} + \beta_3 I(BlackFounder)_i + \gamma' X_i + FE + \varepsilon_{jdi}. \quad (6)$$

Interpretation: These specifications ask whether Black partners are more likely to fund Black founders and whether same-race matches are associated with better startup outcomes.

4.5 Network score regressions

The network score is based on shared school and work connections between lead partners and founders before startup formation. The paper estimates:

$$NetworkScore_{jdi} = \alpha + \beta I(BlackPartner)_{jd} \times I(BlackFounder)_i + \gamma' X_i + FE + \varepsilon_{jdi}. \quad (7)$$

Interpretation: This test evaluates whether Black founder–Black partner pairs have more preexisting network overlap, which could reduce information asymmetry.

5 Identification and empirical design

5.1 What the paper can identify

- The paper can estimate the size of the funding gap for Black high-growth startups in a large VC-relevant sample.
- It can show how much of the gap is associated with success markers and network variables.
- It can show that Black VC partners are more likely to fund Black founders and that such investments have stronger exit outcomes.

Interpretation: The paper is primarily descriptive and mechanism-oriented rather than a clean causal discrimination design.

5.2 What the paper does not claim

- It does not fully distinguish taste-based discrimination from statistical discrimination.
- It does not observe all startup applications to VC funds.
- It cannot prove that all omitted startup quality is equal across Black-owned and non-Black-owned startups.
- It does not identify a randomized increase in Black VC partner representation.

Interpretation: The paper is careful: it quantifies the gap and evaluates mechanisms, but it does not claim to fully causally identify discrimination type.

5.3 Why the evidence is informative

- The data cover a large share of PitchBook-visible high-growth startups over two decades.
- The race-classification method is validated against perceived race.
- Rich resume data allow controls for many success markers that venture investors plausibly use.
- Partner-level data permit within-investor and deal-level tests of matching and outcomes.
- Network-score evidence directly links information asymmetry to founder-investor pairs.

Interpretation: The strength of the paper lies in triangulation: representation, funding outcomes, success-marker differences, investor matching, exit outcomes, and network overlap all point to a coherent mechanism.

6 Tables and figures

6.1 Figures 1–2: race measurement and startup representation

Read:

- Figure 1 compares image-based perceived race classification with the NamePrism name-based algorithm.
- Most founders are true negatives because most founders are not perceived as Black.
- NamePrism alone misses many Black founders identified by images, making the image pipeline important.
- Figure 2 shows that Black-owned startups are underrepresented throughout 2000–2020.
- The Black startup share rises from 1.48% in 2000–2005 to 4.81% in 2016–2020, but remains far below population representation.

Economic message: The paper’s measurement contribution is crucial. Without images and manual validation, the sample would undercount Black founders and bias measurement of the funding gap.

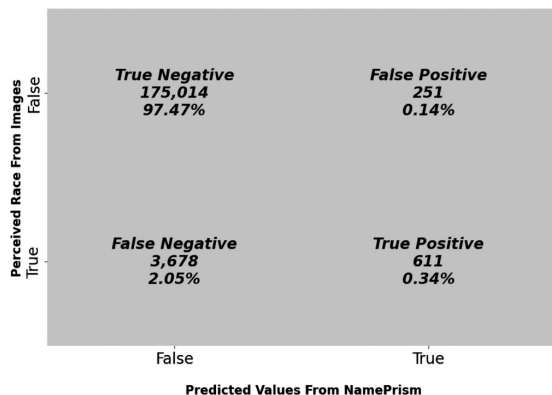


Figure 1. Comparison of Black founder classification using perceived race from images and the NamePrism algorithm. This figure contrasts the classification of Black founders in our sample using perceived race derived from their images and the name prediction algorithm NamePrism, employed in various published papers and developed by Ye et al. (2017). *False Negative* represents the Black founders identified through images that we would have overlooked if we had relied solely on the race probability of being Black from NamePrism, which classifies an individual as Black if their name suggests greater than a 50% probability of being Black. NamePrism accepts the founder’s first and last name as inputs and returns the probability that the founder belongs to a given race based on the relative frequencies of people with the same first and last names in the database. For additional details on how we combine image- and name-processing algorithms and our manual review process to construct our measure of perceived race, see Section I

Figure 1: race-classification validation

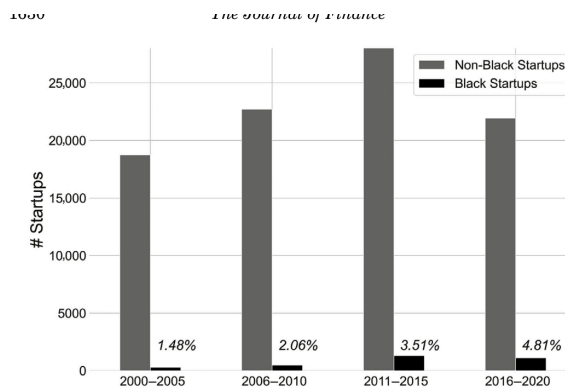


Figure 2. Count of U.S.-based high-growth startups by founder race: A comparison of Black and non-Black founders (2000 to 2020). This figure shows the number of U.S.-based startups in our final sample, comprising startups established between 2000 and 2020. We display the count of startups by categorizing them according to whether the startup was formed by Black or non-Black founders. See Section III of the [Internet Appendix](#) for variable definitions.

Figure 2: startup counts by founder race

6.2 Table I: summary statistics

Read:

- Panel A shows that 3.1% of high-growth startups are Black-owned.
- Black-owned startups raise less VC funding: mean VC funding is \$3.78 million for Black-owned startups versus \$8.93 million for non-Black-owned startups.
- Black-owned startups have fewer success markers: lower network score, fewer patents, lower top-school representation, fewer founders, and less big-tech or VC-backed experience.
- Panel B shows founder-level differences, including lower network score, lower founder-inventor status, lower PhD status, and lower VC-backed experience among Black founders.

Economic message: The funding gap is visible unconditionally, but so are large differences in the signals and networks that investors use to screen startups.

Table I
Summary Statistics for Startups by Founder Race (2000 to 2020)

Panel A presents summary statistics for startups in PitchBook that were founded between 2000 and 2020. Panel B reports summary statistics for founders of startups in Panel A. See Section III of the [Internet Appendix](#) for variable definitions. The final column reports the t -statistic testing differences in means between the groups. ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively. All continuous variables are winsorized at the 1% and 99% levels to minimize the influence of outliers.

	Black Owned N = 3,171		Non-Black Owned N = 99,205		t-Stat
	Mean	Std. Dev.	Mean	Std. Dev.	
Panel A: Firm-Level Statistics					
Founder Gender and Race					
P(Black)	0.76	0.27	0.00	0.02	160.32***
P(Female)	0.23	0.38	0.13	0.29	14.62***
Startup Characteristics					
Year Founded	2013.15	4.70	2010.96	5.33	25.64***
I(PE Hub)	0.40	0.49	0.45	0.50	-5.41***
VC funding (\$ Millions)	3.78	37.94	8.93	73.98	-7.22***
Non-VC funding (\$ Millions)	0.07	0.34	0.23	9.10	-5.49***
I(Has Patent)	0.05	0.21	0.10	0.29	-12.54***
I(IPO)	0.01	0.07	0.02	0.14	-10.25***
I(M&A)	0.16	0.37	0.37	0.48	-29.93***
Founding Team Characteristics					
# Founders	1.82	0.89	1.88	1.03	-3.88***
Network Score	0.02	0.05	0.03	0.07	-9.07***
P(CS-Eng)	0.27	0.38	0.28	0.38	-2.09**
P(Startup Exp)	0.31	0.41	0.31	0.41	0.12
P(VC-Backed Exp)	0.12	0.28	0.14	0.30	-3.78***
# Jobs	2.63	2.43	2.51	2.20	2.71***
P(Founder-Inventor)	0.01	0.09	0.02	0.13	-6.81***
P(Has PhD)	0.12	0.28	0.14	0.31	-4.59***
P(Big Tech)	0.06	0.20	0.08	0.22	-3.35***
P(Senior Roles)	0.41	0.43	0.44	0.43	-4.19***
Startup Industry					
I(Business Products and Services)	0.17	0.38	0.20	0.40	-3.82***
I(Consumer Products and Services)	0.31	0.46	0.22	0.42	10.84***
I(Energy)	0.01	0.12	0.03	0.16	-5.56***
I(Financial Services)	0.03	0.17	0.04	0.20	-3.33***
I(Healthcare)	0.12	0.32	0.15	0.36	-6.14***
I(Information Technology)	0.35	0.48	0.35	0.48	-0.02
I(Materials and Resources)	0.01	0.08	0.01	0.11	-4.06***

(Continued)

Table I—Continued

	Black N = 4,289		Non-Black N = 175,265		t-Stat
	Mean	Std. Dev.	Mean	Std. Dev.	
Panel B: Founder-Level Statistics					
I(Female)	0.23	0.42	0.14	0.34	13.87***
Network Score	0.02	0.06	0.03	0.08	-10.42***
I(Serial Founder)	0.02	0.11	0.03	0.15	-8.20***
I(Founder-Inventor)	0.01	0.08	0.02	0.12	-6.99***
I(Senior Roles)	0.41	0.49	0.45	0.50	-5.34***
I(Has PhD)	0.12	0.32	0.14	0.35	-4.97***
I(VC-Backed Exp)	0.13	0.33	0.15	0.35	-4.21***
I(Big Tech)	0.06	0.24	0.08	0.27	-4.17***
I(CS-Eng)	0.28	0.45	0.29	0.46	-2.35**
# Jobs	2.66	2.76	2.58	2.53	2.08**
I(Top School)	0.24	0.43	0.25	0.43	-1.47
I(Startup Exp)	0.32	0.46	0.33	0.46	-1.05

Table I, Panels A and B: startup- and founder-level summary statistics

6.3 Table II and Table III: funding gaps and Gelbach decomposition

Read:

- Table II shows that Black ownership is associated with a lower likelihood of raising VC funding and a lower amount of VC funding conditional on funding.
- Conditional on controls, the coefficient on $P(\text{Black})$ in the log VC funding specification is about -0.725 , implying roughly half as much funding.
- Table III decomposes the gap and shows that founder and startup characteristics explain a large fraction of the funding disparity.
- On the intensive margin, explained covariates account for about half of the gap in log VC funding.

Economic message: The funding gap is large, but much of it is associated with unequal distribution of traditional VC success markers.

Table II
Association between Black Ownership and Likelihood and Amount of Funding (All PitchBook)

This table presents results from our analysis of the association between race and gender and both the likelihood and amount of funding raised. We report coefficients from OLS regressions conducted at the startup level, with standard errors in parentheses. Columns (1) and (2) examine the extensive margin, while columns (3) and (4) focus on the intensive margin, conditional on getting funding. The dependent variable in columns (1) and (3) focuses on non-VC funding, whereas in columns (2) and (4) we focus on VC funding. All variables are defined in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Dependent Variable:	<i>I</i> (Raised Non-VC Funding)	<i>I</i> (Raised VC Funding)	<i>Ln</i> (Non-VC Funding)	<i>Ln</i> (VC Funding)
	(1)	(2)	(3)	(4)
<i>P</i> (Black)	0.128*** (0.010)	-0.043*** (0.010)	-0.286*** (0.063)	-0.725*** (0.079)
<i>P</i> (Female)	0.057*** (0.004)	-0.048*** (0.005)	-0.335*** (0.039)	-0.469*** (0.036)
<i>Network Score</i>	-0.083*** (0.017)	0.344*** (0.023)	1.201*** (0.213)	2.022*** (0.130)
<i>P</i> (Serial Founder)	-0.118*** (0.007)	0.125*** (0.009)	0.433*** (0.081)	0.817*** (0.045)
<i>P</i> (Founder-Inventor)	-0.024** (0.009)	0.025** (0.012)	0.026 (0.105)	-0.119** (0.058)
<i>P</i> (Senior Roles)	-0.015*** (0.003)	0.106*** (0.004)	0.225*** (0.032)	0.559*** (0.025)
<i>P</i> (Has PhD)	0.107*** (0.005)	0.075*** (0.005)	1.106*** (0.041)	0.372*** (0.032)
<i>P</i> (VC-Backed Exp)	-0.020*** (0.006)	0.053*** (0.007)	0.010 (0.049)	0.207*** (0.038)
<i>P</i> (Big Tech)	-0.019*** (0.006)	0.036*** (0.007)	0.029 (0.053)	0.325*** (0.039)
<i>P</i> (CS-Eng)	0.057*** (0.003)	0.040*** (0.004)	0.015 (0.033)	0.033 (0.026)
<i>Ln</i> (Count Jobs)	0.011*** (0.003)	0.045*** (0.003)	0.028 (0.027)	-0.038* (0.020)
<i>P</i> (Top School)	0.030*** (0.003)	0.067*** (0.004)	0.078** (0.034)	0.360*** (0.026)
<i>P</i> (Startup Exp)	0.022*** (0.005)	0.023*** (0.006)	0.130*** (0.050)	0.294*** (0.038)
<i>I</i> (Has Patent)	0.053*** (0.005)	0.205*** (0.005)	0.573*** (0.041)	0.642*** (0.026)
<i>Ln</i> (# Founders)	0.086*** (0.003)	0.147*** (0.003)	0.213*** (0.027)	0.587*** (0.020)
Observations	102,376	102,376	18,520	40,869
Adjusted- <i>R</i> ²	0.10	0.19	0.25	0.24
State, Year, and Industry FE?	Yes	Yes	Yes	Yes

and (4) examine VC. All models include controls from Table I, with fixed effects for startup headquarters state, year of founding, and industry (defined as

Table II: Black ownership and funding outcomes

Table III
Gelbach Decomposition of Funding Gaps

This table presents coefficients from a Gelbach (2016) decomposition, with standard errors in parentheses. The decomposition uses the omitted variable bias formula to quantify how much of the disparity in the likelihood and amount of funding raised by Black versus non-Black founded startups can be explained by founding team and startup characteristics. The unit of observation is a startup. The funding decomposition, *Ln*(VC funding), is conditional on raising a round of VC funding. *P*(Black)_{Base} represents the raw funding gap when the regression model does not include any covariates. *P*(Black)_{Full} is the gap when all covariates are added to the model. *Explained* is the difference between *P*(Black)_{Base} and *P*(Black)_{Full}. The covariates decompose this explained portion into contributions from various founding team and startup characteristics. *Founding Team Characteristics* include: *Network Score*, *P*(Serial Founder), *P*(Founder-Inventor), *P*(Senior Roles), *P*(Has PhD), *P*(VC-Backed Exp), *P*(Big Tech), *P*(CS-Eng), *Ln*(Count Jobs), *P*(Top School), and *P*(Startup Exp). *Startup Characteristics* includes: *I*(Has Patent) and *Ln*(# Founders). *State, Industry, and Year* are indicator variables for the state in which the startup is headquartered, the startup's industry, and the year when the startup was formed. We define all variables in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Dependent Variable:	<i>I</i> (Raised VC Funding)	<i>Ln</i> (VC Funding)
	(1)	(2)
<i>P</i> (Black) _{Base}	-0.093*** (0.011)	-1.447*** (0.086)
<i>P</i> (Black) _{Full}	-0.043*** (0.010)	-0.725*** (0.076)
<i>Explained</i>	-0.050*** (0.005)	-0.722*** (0.043)
Covariates:		
<i>P</i> (Female)	-0.007*** (0.001)	-0.057*** (0.007)
<i>Founding Team Characteristics</i>	-0.019*** (0.003)	-0.167*** (0.023)
<i>Startup Characteristics</i>	-0.026*** (0.002)	-0.118*** (0.016)
<i>State dummies</i>	0.002* (0.001)	-0.054*** (0.010)
<i>Industry dummies</i>	0.008*** (0.001)	-0.233*** (0.021)
<i>Year dummies</i>	-0.009*** (0.001)	-0.093*** (0.018)
Observations	102,376	40,869

Table III: decomposition of funding gaps

6.4 Tables IV–VI: deal rounds and pipeline transitions

Read:

- Table IV decomposes funding into angel, seed, early-stage, and late-stage rounds.
- Black-owned startups raise smaller amounts per round and wait longer to raise early- and late-stage rounds.
- Table V shows transition matrices across deal types for Black and non-Black startups.
- Table VI shows that Black-owned startups are less likely to progress into early-stage VC funding conditional on prior funding.
- The bottleneck is the transition to early-stage financing, rather than only late-stage financing.

Economic message: The racial funding gap is not just a final-dollar gap. It emerges at specific points in the startup financing pipeline, especially around Series A.

Table IV
Black Ownership, Number of Deals, Size of Deals, and Time to Deal

This table presents results from our analysis of the association between founder race and three outcomes: number of deals, time to deals, and size of deals. We analyze four main types of venture deals: angel, seed, early-stage VC (predominantly Series A), and late-stage VC (Series B or later rounds). The unit of observation is a startup. Panels A and C are conditional on raising at least one round of that type, so each column reflects the number of startups raising that type of round. In Panel C, for the less than 2% of firms that raise more than one round of a particular type, the dollars from those rounds are summed to the startup level. Panel B estimates a Cox proportional hazard model of the likelihood of raising a round of each type, using startup-level observations; a startup is censored (“dies”) when it raises that type of round. Every model includes the controls and fixed effects from Table II. We define all other variables in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Panel A: Number of Rounds				
Dependent Variable:	# <i>Angel R</i>	# <i>Seed R</i>	# <i>Early R</i>	# <i>Late R</i>
	(1)	(2)	(3)	(4)
<i>P(Black)</i>	-0.055* (0.034)	0.031 (0.030)	-0.053 (0.038)	-0.180 (0.113)
Observations	11,916	17,923	25,118	12,434
Table II Controls?	YES	YES	YES	YES
State, Year, and Industry FE?	Yes	Yes	Yes	Yes
Panel B: Time to Rounds				
Dependent Variable:	<i>I(Angel)</i>	<i>I(Seed)</i>	<i>I(Early)</i>	<i>I(Late)</i>
<i>P(Black)</i>	-0.098 (0.062)	-0.010 (0.054)	-0.313*** (0.058)	-0.511*** (0.105)
Observations	102,376	102,376	102,376	102,376
Y_{mean}	11.6%	17.5%	24.5%	12.2%
Table II Controls?	YES	YES	YES	YES
State, Year, and Industry FE?	Yes	Yes	Yes	Yes
Panel C: Amount per Round				
Dependent Variable:	<i>Ln(Angel)</i>	<i>Ln(Seed)</i>	<i>Ln(Early)</i>	<i>Ln(Late)</i>
<i>P(Black)</i>	-0.812*** (0.106)	-0.448*** (0.090)	-0.677*** (0.109)	-0.604*** (0.194)
Observations	11,916	17,923	25,118	12,434
<i>P(Black)</i> _{mean}	0.03	0.03	0.02	0.01
Table II Controls?	YES	YES	YES	YES
State, Year, and Industry FE?	Yes	Yes	Yes	Yes

Table VI
Association between Black Ownership and Funding Gap Conditional on Raising Capital, Deal Count, and Raising Previous Stage

This table presents results from our analysis of the association between race, gender, and the likelihood of raising different rounds of early-stage funding. The unit of observation is a startup. In column (1), the dependent variable is an indicator for whether the startup raised funding from an accelerator. In column (2), it is an indicator for raising funding from angels. In column (3), the dependent variable is an indicator for raising a seed round, and in column (4) it is an indicator for raising an early-stage round. In column (5), it is an indicator for raising a late-stage round, conditional on raising an early, seed, angel, or accelerator round. We define all other variables in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Dependent Variable:	<i>I(Accelerator)</i>	<i>I(Angel)</i>	<i>I(Seed)</i>	<i>I(Early)</i>	<i>I(Late)</i>
Sample	Raised Early, Seed, Angel, or Accelerator				
	(1)	(2)	(3)	(4)	(5)
<i>P(Black)</i>	0.107*** (0.009)	-0.008 (0.007)	-0.008 (0.008)	-0.028*** (0.007)	-0.006 (0.008)
<i>P(Female)</i>	0.042*** (0.003)	-0.024*** (0.003)	-0.010*** (0.004)	-0.044*** (0.004)	-0.020*** (0.005)
<i>I(Early Stage)</i>	-0.022*** (0.002)	-0.051*** (0.002)	0.050*** (0.003)		0.250*** (0.004)
<i>I(Seed Round)</i>	0.027*** (0.003)	-0.047*** (0.003)		0.061*** (0.004)	-0.021*** (0.004)
<i>I(Angel Round)</i>	-0.038*** (0.003)		-0.059*** (0.003)	-0.079*** (0.004)	-0.039*** (0.004)
<i>I(Accelerator)</i>		-0.046*** (0.003)	0.042*** (0.005)	-0.042*** (0.005)	-0.022*** (0.004)
Observations	102,376	102,376	102,376	102,376	50,024
Adjusted- R^2	0.09	0.04	0.14	0.18	0.31
Table II Controls?	YES	YES	YES	YES	YES
State, Year, and Industry FE?	Yes	Yes	Yes	Yes	Yes

Table V
Transition Matrix of Deal Types (in Percentage)

This table reports the distribution of the next round type (columns) conditional on the focal round type (rows). The unit of observation is a round. For example, 22.42% of startups that raise an “Other” round raise another “Other” round, while 29.26% do not raise a subsequent round. “Other” includes product crowdfunding, equity crowdfunding, and grants; “Accelerator” refers to accelerator/incubator programs. Diagonal entries (same-type follow-on rounds) are italicized. The penultimate column indicates no further funding after the focal round, and the final column reports the total number of focal rounds of that type. Panel A corresponds to non-Black startups and Panel B to Black-owned startups.

Panel A: Non-Black Startups								
	Other	Accelerator	Angel	Seed Round	Early Stage VC	Later Stage VC	Not Funded	Total
Other	22.42	14.13	7.42	8.43	10.50	7.84	29.26	16,647
Accelerator	9.13	15.66	5.39	16.20	10.82	2.58	40.22	25,309
Angel	5.14	6.07	23.46	5.33	7.61	3.40	48.97	18,915
Seed Round	4.49	9.22	3.55	16.95	21.71	3.52	40.57	25,394
Early Stage VC	4.29	3.82	0.91	0.89	34.96	17.66	37.46	39,355
Later Stage VC	3.39	1.20	0.35	0.17	0.23	48.68	45.99	23,566
Panel B: Black Startups								
	Other	Accelerator	Angel	Seed Round	Early Stage VC	Later Stage VC	Not Funded	Total
Other	19.40	20.54	4.56	9.56	6.85	2.85	36.23	701
Accelerator	9.91	21.60	4.41	12.21	7.51	1.60	42.75	1,745
Angel	4.40	13.58	14.13	6.42	3.85	1.83	55.78	545
Seed Round	5.13	15.15	2.96	15.49	13.90	2.85	44.53	878
Early Stage VC	5.11	10.34	1.12	1.62	24.66	10.21	46.95	803
Later Stage VC	4.46	3.82	1.27	0.32	0.32	39.17	50.64	314

Table V: transition matrix across deal types

Table VI: conditional round transitions

6.5 Tables VII–VIII: success markers by race and investor race

Read:

- Table VII estimates success-marker coefficients separately for Black and non-Black founders.
- Investors appear to rely on traditional success markers similarly when evaluating Black and non-Black founders.
- Table VIII shows that Black and non-Black VC partners respond differently to founder characteristics and that Black partners are more likely to fund Black founders.
- Some success markers load strongly when Black founders are funded by non-Black VC partners.

Economic message: The gap is not simply because investors ignore quality signals for Black founders. Instead, Black founders have fewer of the standard signals, and different investors may interpret those signals differently.

Table VII
Association between Black Ownership and Likelihood of VC Funding (Split-Sample)

This table presents results from our analysis of the association between race and gender and the likelihood of raising VC funding, as well as the amount of funding raised, conditional on a funding round. We present coefficients from OLS regressions run at the startup level, with standard errors in parentheses. All other variables are defined in Section III of the [Internet Appendix](#). In columns (3) and (6), we present p -values derived from the Wald statistic, which follows a chi-squared distribution with one degree of freedom. We extract the p -values (using the `suest` command in Stata) for the difference in means between the variables in columns (1) and (2) (for column (3)), and the variables in columns (4) and (5) (for column (6)) (see Section VII of the [Internet Appendix](#) for additional details). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Sample	<i>I</i> (Raised VC Funding)			<i>Ln</i> (VC Funding)		
	Black	Non-Black	$P_{value(1)-(2)}$	Black	Non-Black	$P_{value(3)-(4)}$
	(1)	(2)	(3)	(4)	(5)	(6)
<i>P</i> (Female)	-0.034 (0.022)	-0.049*** (0.005)	0.507	-0.338* (0.187)	-0.474*** (0.037)	0.458
<i>Network Score</i>	0.227 (0.168)	0.345*** (0.023)	0.479	3.649*** (0.873)	1.999*** (0.131)	0.052
<i>P</i> (Serial Founder)	0.196*** (0.062)	0.123*** (0.009)	0.245	0.874*** (0.295)	0.817*** (0.045)	0.844
<i>P</i> (Founder-Inventor)	-0.111 (0.092)	0.027** (0.012)	0.132	0.879* (0.479)	-0.128** (0.059)	0.030
<i>P</i> (Senior Roles)	0.090*** (0.022)	0.107*** (0.004)	0.445	0.609*** (0.164)	0.556*** (0.026)	0.738
<i>P</i> (Has PhD)	0.013 (0.031)	0.076*** (0.005)	0.040	0.563** (0.227)	0.368*** (0.032)	0.378
<i>P</i> (VC-Backed Exp)	0.072* (0.042)	0.052*** (0.007)	0.639	0.481** (0.243)	0.199*** (0.038)	0.235
<i>P</i> (Big Tech)	0.064 (0.046)	0.035*** (0.007)	0.526	0.171 (0.273)	0.328*** (0.039)	0.554
<i>P</i> (CS-Eng)	0.011 (0.023)	0.041*** (0.004)	0.189	-0.236 (0.163)	0.042 (0.026)	0.081
<i>Ln</i> (Count Jobs)	0.010 (0.019)	0.046*** (0.003)	0.048	0.135 (0.127)	-0.045** (0.021)	0.146
<i>P</i> (Top School)	0.050** (0.024)	0.068*** (0.004)	0.463	0.315* (0.178)	0.361*** (0.026)	0.791
<i>I</i> (Has Patent)	0.287*** (0.040)	0.203*** (0.005)	0.033	0.538** (0.223)	0.643** (0.026)	0.626
<i>Ln</i> (# Founders)	0.161*** (0.019)	0.147*** (0.003)	0.439	0.435*** (0.147)	0.591*** (0.020)	0.274
<i>P</i> (Startup Exp)	0.073** (0.036)	0.021*** (0.006)	0.148	0.244 (0.250)	0.297*** (0.039)	0.826
Observations	3,167	99,205		1,091	39,777	
Adjusted- R^2	0.12	0.19		0.25	0.23	
State, Year, and Industry FE?	Yes	Yes		Yes	Yes	

Table VII: split-sample success-marker regressions

Table VIII
Association between Investor Race and Startup Fundraising by Investor Race

This table investigates the association between the characteristics of startup founders and the likelihood of raising VC funding from lead partners of different races. In columns (1) and (2), the dependent variable is an indicator that equals one if the startup raised a round of funding from a non-Black lead partner. In columns (4) and (5), the dependent variable is an indicator that equals one when the startup raised a round of funding from a Black lead partner. Columns (3) and (6) present p -values from Wald tests comparing the coefficients estimated in column (1) versus (2), and column (4) versus (5), respectively. Column (7) presents p -values from Wald tests comparing the coefficients estimated in column (1) versus (4) (both for Black-owned startups). These p -values are derived from the Wald statistic (using the `suest` command in Stata), which follows a chi-squared distribution with one degree of freedom (see Section VII of the [Internet Appendix](#) for additional detail). We define all other variables in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Sample	Raised VC Funding From:					
	<i>I</i> (Non-Black VC)			<i>I</i> (Black VC)		
	Black	Non-Black	P_{value}	Black	Non-Black	P_{value}
Dependent Variable:	(1)	(2)	(3)	(4)	(5)	(6)
<i>P</i> (Female)	-0.034 (0.022)	-0.049*** (0.005)	0.507	0.028** (0.014)	0.006*** (0.002)	0.114
<i>Network Score</i>	0.227 (0.168)	0.345*** (0.023)	0.479	0.127 (0.114)	0.015** (0.007)	0.322
<i>P</i> (Serial Founder)	0.196*** (0.062)	0.123*** (0.009)	0.245	0.109** (0.053)	0.006 (0.004)	0.051
<i>P</i> (Founder-Inventor)	-0.111 (0.092)	0.027** (0.012)	0.132	-0.066 (0.065)	-0.007** (0.004)	0.362
<i>P</i> (Senior Roles)	0.090*** (0.022)	0.107*** (0.005)	0.445	0.055*** (0.004)	0.004*** (0.001)	0.127
<i>P</i> (Has PhD)	0.013 (0.031)	0.076*** (0.007)	0.040	0.008 (0.020)	-0.003* (0.002)	0.573
<i>P</i> (VC-Backed Exp)	0.072* (0.042)	0.052*** (0.007)	0.639	0.045 (0.030)	0.016*** (0.003)	0.322
<i>P</i> (Big Tech)	0.064 (0.046)	0.035*** (0.007)	0.526	0.004 (0.035)	0.011*** (0.003)	0.829
<i>P</i> (CS-Eng)	0.011 (0.023)	0.041*** (0.004)	0.189	-0.007 (0.014)	0.002 (0.001)	0.543
<i>Ln</i> (Count Jobs)	0.010 (0.019)	0.046*** (0.003)	0.048	0.020 (0.012)	0.002** (0.001)	0.158
<i>P</i> (Top School)	0.050** (0.024)	0.068*** (0.004)	0.463	0.022 (0.016)	0.008*** (0.001)	0.370
<i>I</i> (Has Patent)	0.287*** (0.040)	0.203*** (0.005)	0.033	0.033 (0.026)	-0.014 (0.002)	0.415
<i>Ln</i> (# Founders)	0.161*** (0.019)	0.147*** (0.003)	0.439	0.042*** (0.012)	0.016*** (0.001)	0.029
<i>P</i> (Startup Exp)	0.073** (0.036)	0.021*** (0.006)	0.148	0.005 (0.023)	0.004* (0.002)	0.948
Observations	3,167	99,205		3,167	99,205	

Table VIII: investor race and startup fundraising

6.6 Tables IX–XI: assortative matching and partner-race outcomes

Read:

- Table IX shows assortative matching: stronger founders tend to match with larger or more successful VC investors.
- Table X shows that VC firms with Black partners are less likely to be large or high-success firms, but fund a higher share of Black-owned startups.
- Table XI shows that Black partners are more likely to invest in Black founders within VC firms.
- The same table shows that Black-owned startups funded by Black partners have higher successful exit rates.

Economic message: Black founders' higher success when funded by Black partners is difficult to explain with simple assortative matching alone. It suggests an information or screening advantage among Black partners.

Table IX
Assortative Matching between VCs and Founders

This table reports estimates of the association between the size and past success of the investor funding the startup and the characteristics of the startup and founding team. The unit of observation is an investor deal. The dependent variable *I(Large VC)* indicates whether the VC was in the top quintile of total funding deployed over the five years leading up to the deal, excluding the year of the deal. *I(Successful VC)* indicates whether the VC was in the top quintile regarding the fraction of deals in which the startup went public or was acquired over the five years leading up to the deal, excluding the year of the deal. All other variables are defined in Section III of the Internet Appendix. In columns (3) and (6), we present *p*-values derived from the Wald statistic, which follows a chi-squared distribution with one degree of freedom (see Section VII of the Internet Appendix for details). We extract the *p*-values (using the `suest` command in Stata) for the difference in means between the variables in columns (1) and (2) (for column (3)) and the variables in columns (4) and (5) (for column (6)). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively. We cluster standard errors by startup.

Sample:	<i>I(Large VC)</i>			<i>I(Successful VC)</i>		
	Black	Non Black	$P_{value(1)-(2)}$	Black	Non Black	$P_{value(3)-(4)}$
	(1)	(2)	(3)	(4)	(5)	(6)
<i>P(Female)</i>	-0.117 (0.142)	-0.261*** (0.040)	0.303	-0.020 (0.029)	-0.023*** (0.007)	0.914
<i>Network Score</i>	1.205* (0.666)	0.489*** (0.112)	0.278	0.221* (0.128)	0.103*** (0.020)	0.352
<i>P(Serial Founder)</i>	0.190 (0.223)	0.206*** (0.038)	0.941	0.093** (0.043)	0.026*** (0.007)	0.115
<i>P(Founder-Inventor)</i>	0.335 (0.393)	-0.066 (0.052)	0.305	-0.115 (0.074)	-0.018* (0.010)	0.189
<i>P(Senior Roles)</i>	0.243* (0.139)	0.198*** (0.027)	0.737	0.074*** (0.028)	0.028*** (0.005)	0.090
<i>P(Has PhD)</i>	0.304* (0.170)	0.307*** (0.036)	0.986	0.014 (0.034)	0.017*** (0.007)	0.912
<i>P(VC-Backed Exp)</i>	0.335* (0.173)	0.103*** (0.033)	0.177	0.081** (0.034)	0.016** (0.006)	0.050
<i>P(Big Tech)</i>	0.371** (0.175)	0.158*** (0.032)	0.220	0.065* (0.034)	0.036*** (0.006)	0.395
<i>P(CS-Eng)</i>	-0.164 (0.124)	0.087*** (0.023)	0.041	-0.035 (0.024)	0.015*** (0.004)	0.039
<i>Ln(Count Jobs)</i>	-0.235** (0.092)	-0.142*** (0.019)	0.314	-0.066*** (0.018)	-0.020*** (0.004)	0.012
<i>P(Top School)</i>	0.266** (0.121)	0.106*** (0.025)	0.188	0.046* (0.024)	0.014*** (0.005)	0.191
<i>I(Has Patent)</i>	0.129 (0.132)	0.209*** (0.026)	0.545	-0.027 (0.026)	0.012*** (0.004)	0.137
<i>Ln(# Founders)</i>	0.209** (0.102)	0.104*** (0.018)	0.300	0.034* (0.019)	0.007** (0.003)	0.146
<i>P(Startup Exp)</i>	0.152 (0.180)	0.143*** (0.033)	0.963	0.061* (0.035)	0.018*** (0.006)	0.221
State, Year, and Industry FE?	Yes	Yes		Yes	Yes	

Table IX: assortative matching; Table X: VC firm past performance and partner race

Table X
Investment Firm Past Performance, Investments in Black Startups, and Partner Race

This table reports estimates on the association between the size and past success of the investor funding the startup and the race of the firms' lead partners. The unit of observation is an investor-year. The dependent variable *I(Large VC)* indicates whether the VC was in the top quintile of total funding deployed over the five years leading up to the deal, excluding the year of the deal. *I(Successful VC)* indicates whether the VC was in the top quintile regarding the fraction of deals in which the startup went public or was acquired over the five years leading up to the deal, excluding the year of the deal. *P(Black Deals)* is the proportion of investments in Black-owned starts in a given year. *Ln(Average deal size)* is the log average deal size of an investor's deals in a given year. All other variables are defined in Section III of the Internet Appendix.

Dependent Variable	<i>I(Large VC)</i>		<i>I(Successful VC)</i>		<i>P(Black Deals)</i>	
	(1)	(2)	(3)	(4)	(5)	(6)
<i>P(Black Partners)</i>	-0.315*** (0.107)	-0.296*** (0.107)	-0.078*** (0.024)	-0.074*** (0.023)	16.162*** (1.372)	15.914*** (1.355)
<i>P(Female Partners)</i>		-0.139** (0.056)		-0.027** (0.012)		0.984*** (0.333)
<i>P(Hispanic Partners)</i>		-0.095 (0.082)		-0.042** (0.017)		-0.788** (0.359)
<i>P(Asian Partners)</i>		0.137** (0.054)		0.035*** (0.012)		-0.378* (0.226)
<i>Ln(Average deal size)</i>						-0.767*** (0.053)
State, Year, and Industry FE?	Yes	Yes	Yes	Yes	Yes	Yes
Observations	51,881	51,881	51,881	51,881	51,881	51,881
Adjusted-R ²	0.02	0.02	0.01	0.01	0.02	0.03

Table XI
Association between Lead Partner Race and VC Funding for Black Founders

This table investigates the relationship between the race of the lead partner on the deal and the funding and exit outcomes of startups by the race of their founders. We present coefficients from OLS regressions run at the investor-deal level, with standard errors reported below in parentheses. In Panel A, the dependent variable, $I(\text{Invested in Black Founder})$, indicates whether the startup in the deal was Black-owned. In Panel B, the dependent variable, $I(\text{Success})$, indicates whether the partner made an investment that resulted in an exit through an acquisition or IPO. Exits are as of Q4 2022. $I(\text{Black Partner})$ is an indicator that equals one if the lead partner on the deal is Black. We define $I(\text{Asian Partner})$ and $I(\text{Hispanic Partner})$ analogously. The omitted category is white partners. Panel A and B regressions also include industry, deal year, and VC firm (investor) fixed effects. We define all other variables in Section III of the [Internet Appendix](#). ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Panel A: $I(\text{Invested in Black Founder})$				
$I(\text{Black Partner})$	0.054*** (0.019)			0.054*** (0.019)
$I(\text{Asian Partner})$		0.000 (0.003)		0.001 (0.003)
$I(\text{Hispanic Partner})$			-0.006 (0.004)	-0.004 (0.004)
Observations	110,072	110,072	110,072	110,072
Adjusted R^2	0.065	0.065	0.065	0.065
Deal Year and Industry FE?	YES	YES	YES	YES
Investor FE?	YES	YES	YES	YES
Table II Controls?	YES	YES	YES	YES
Panel B: $I(\text{Success})$				
	(1)	(2)	(3)	(4)
$I(\text{Black}) \times I(\text{Black Founders})$	0.082*** (0.020)			0.080*** (0.020)
$I(\text{Asian}) \times I(\text{Black Founders})$		-0.024 (0.021)		-0.015 (0.022)
$I(\text{Hispanic}) \times I(\text{Black Founders})$			0.009 (0.043)	0.015 (0.043)
$I(\text{Black Partner})$	-0.029** (0.015)			-0.029** (0.015)
$I(\text{Asian Partner})$		0.008 (0.007)		0.006 (0.007)
$I(\text{Hispanic Partner})$			-0.012 (0.012)	-0.011 (0.012)
$I(\text{Black Founders})$	-0.048*** (0.007)	-0.038*** (0.007)	-0.041*** (0.007)	-0.047*** (0.008)
$\text{Ln}(\text{VC Funding})$	0.017*** (0.001)	0.017*** (0.001)	0.017*** (0.001)	0.017*** (0.001)
Observations	110,072	110,072	110,072	110,072
Adjusted R^2	0.171	0.171	0.171	0.171
Deal Year and Industry FE?	YES	YES	YES	YES
Investor FE?	YES	YES	YES	YES
Table II Controls?	YES	YES	YES	YES

Table XI: lead partner race and founder outcomes

6.7 Tables XII–XIII and Figure 3: screening discrimination and networks

Read:

- Table XII studies dispersion in funding-round sizes.
- The interaction between Black founder and Black partner is positive, consistent with Black partners differentiating more among Black founders than non-Black partners do.
- Table XIII shows that Black partners and Black founders are more likely to share pre-startup school or work connections.
- Figure 3 illustrates how the network score is calculated for a founder and lead partner.

Economic message: Network overlap helps explain why Black VC partners may have an information advantage: they may observe or interpret founder quality signals that non-Black investors miss.

Table XII
Association between Lead Partner Race and Funding Round Dispersion

This table presents the estimated effect of Black partners on the natural logarithm of the standard deviation of funding rounds for Black versus non-Black founders. The unit of observation is an investment firm $\times$ founder race $\times$ year combination (e.g., Andreessen Horowitz $\times$ Black founders $\times$ 2015, or Lightspeed $\times$ non-Black founders $\times$ 2018). The variable $I(\text{Black Founders})$ indicates whether at least 50% of the founders are Black or the founder-CEO is Black. The variable $I(\text{Black Partner})$ indicates whether at least one lead partner on a deal for the investment firm in that year is Black. The dependent variable is the natural logarithm of the standard deviation of deal sizes within a given year by group (Black vs. non-Black founders). To ensure the dependent variable is well-defined, the analysis only includes investors with at least two deals in a year. We define all other variables in Section III of the Internet Appendix. ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

	Ln(Deal Size Standard Deviation)		
	(1)	(2)	(3)
$I(\text{Black Founders}) \times I(\text{Black Partner})$			1.037*** (0.349)
$I(\text{Black Founders})$	-1.180*** (0.156)	-1.927*** (0.185)	-2.148*** (0.215)
$I(\text{Black Partner})$			0.083 (0.148)
$\text{Ln}(\text{Deal Count})$		0.726*** (0.044)	0.733*** (0.043)
Observations	19,754	19,754	19,754
Adjusted R^2	0.09	0.14	0.14
Deal Year FE?	YES	YES	YES

Table XII: funding-round dispersion
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Table XIII
Likelihood of Prestartup Connections and Founder/Lead Partner Racial Identities

This table explores how the racial backgrounds of startup founders and lead partners are related to their connections pre startup formation, specifically, whether they attended the same school or worked at the same company. We present coefficients from OLS regressions run at the lead partner-founder level, where we pair each lead partner associated with the deal with each startup founder and cluster standard errors by investor (employing the lead partner) and company. Column (1) shows the dependent variable $I(\text{Work})$, which is an indicator that equals one if the lead partner and founder worked for the same employer before startup formation. In column (2), $I(\text{School})$ indicates whether the founder and lead partner attended the same school. Column (3) shows $I(\text{School} \& \text{Work})$, indicating whether the founder and lead partner attended the same school and worked at the same company before startup formation. Column (4) shows $I(\text{School Or Work})$, indicating whether the founder and lead partner attended the same school or worked at the same company before startup formation. $I(\text{Black Founder})$ is an indicator for a Black founder, and $I(\text{Black Partner})$ is an indicator for a Black lead partner. We define all other variables in Section III of the Internet Appendix. ***, **, and * indicate significance at the 1%, 5%, and 10% level, respectively.

Dependent Variable:	$I(\text{Work})$	$I(\text{School})$	$I(\text{School} \& \text{Work})$	$I(\text{School Or Work})$
	(1)	(2)	(3)	(4)
$I(\text{Black Partner}) \times I(\text{Black Founder})$	0.018*** (0.006)	0.021** (0.009)	0.014*** (0.005)	0.025** (0.010)
$I(\text{Black Partner})$	-0.011*** (0.002)	-0.004 (0.003)	-0.002** (0.001)	-0.014*** (0.003)
$I(\text{Black Founder})$	-0.004** (0.002)	-0.005** (0.002)	-0.002*** (0.001)	-0.007** (0.003)
Observations	321,223	321,223	321,223	321,223
Adjusted R^2	0.018	0.024	0.003	0.028
Industry, Year, State FE?	YES	YES	YES	YES
Table II Controls?	YES	YES	YES	YES

Table XIII: founder-partner network connections
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- **Founder Consideration Set:** Lead Partners funding startups formed in the same Industry, Year, and State (Use experience/education before startup formation)
- **Akwasi Apori:** Founder Correlia Biosystems 2013; Berkeley, CA; Healthcare
- **Henri Pierre-Jacques:** Co-Founder Harlem Capital Partners 2015; New York, NY; Venture Capital Firm
- **Denominator:** Unique school or work experience pairs (pre-startup formation)

Person	School/Work	Partner	Founder	School	Work
Pierre-Jacques	Harvard	Pierre-Jacques	Akwasi Apori	$\frac{0}{2} = 0$	$\frac{0}{1} = 0$
Pierre-Jacques	Northwestern				
Pierre-Jacques	Merrill Lynch				
Pierre-Jacques	Goldman				
Akwasi Apori	MIT				
Akwasi Apori	UC Berkeley				
Akwasi Apori	Boeing				

Figure 3. Example of network score calculation using a founder and lead partner in our sample. This figure illustrates how we compute *Network Score* using a founder and lead partner in our sample. In this example, Akwasi Apori founded Correlia Biosystems in 2013, a company in the Healthcare space located in Berkeley, California. His LinkedIn resume shows that he attended MIT and UC Berkeley and worked at Boeing before the startup's formation. We paired him with Pierre-Jacques, a lead partner who funded a healthcare firm in Berkeley.

7 Short summary

- The paper creates a new race-classified data set of more than 160,000 founders and investors.
- Only 3.1% of PitchBook high-growth startups are Black-owned.
- Black-owned startups raise substantially less VC funding and less funding per round.
- The gap is concentrated around the transition to early-stage VC funding.
- Black-owned startups have fewer traditional success markers such as patents, network proximity, prior startup experience, and top-school background.
- Gelbach decompositions show these success markers explain a large share of the gap.
- Black VC partners invest more in Black founders.
- Black-founded startups funded by Black partners have higher successful exit rates.
- Network-score and dispersion evidence suggest Black partners may better screen Black founders because of lower information asymmetry.

8 Conclusion

8.1 Core conclusion

Cook, Marx, and Yimfor document a large funding gap for Black high-growth startups and show that the gap is connected to unequal access to success markers and investor networks. Black-owned startups are underrepresented in the VC-backed high-growth ecosystem and raise much less capital when they do obtain funding.

8.2 Economic intuition

VC investing relies heavily on signals, referrals, and networks. If Black founders have fewer observable success markers and weaker access to traditional VC networks, they are less likely to receive funding. However, when Black founders match with Black VC partners, shared networks and cultural proximity can reduce information asymmetry, improving screening and exit outcomes.

8.3 Takeaway

The paper shows that racial disparities in venture finance are not only about investor prejudice or startup quality in isolation. They are also about who has access to recognizable signals, who is connected to investors, and who is positioned to interpret founder quality. Increasing diversity among VC partners may matter because it changes the information environment in which Black founders are evaluated.